

Springboard Trading – Day 5

Complete Trading Plan, Rules & Trader Discipline Code

Objective of Day 5

By the end of today, you will have:

- A **complete Springboard Trading System**
- Clear **entry, stop-loss, and target rules**
- A **discipline framework** to avoid emotional trading
- A **trader's code** for long-term consistency

Knowledge without rules = gambling

Rules without discipline = failure

1 The Springboard Trading Framework (Big Picture)

Your trading edge comes from **3 steps**:

Step 1 — Mark Strong Levels

Support & Resistance (Higher timeframe preferred)

Step 2 — Wait for Price to Reach Level

No chasing. No prediction.

Step 3 — Trade Only Reaction

Bounce from Support

Rejection from Resistance

Retest after Breakout

No level = No trade

No reaction = No trade

Trade Setup Types (Your Only Allowed Trades)

Trade Type 1 — Bounce from Support

Use when:

- Price reaches strong support
- Selling slows
- Bullish reaction appears

Bias: Long

Invalidation: Support break

Trade Type 2 — Rejection from Resistance

Use when:

- Price reaches resistance
- Buying weakens
- Bearish rejection appears

Bias: Short

Invalidation: Resistance break

Trade Type 3 — Breakout + Retest (Role Reversal)

Use when:

- Level breaks strongly
- Price retests level
- Reaction confirms continuation

Bias: Trend-following

3 Entry Rules (Simple & Repeatable)

You enter only when **ALL conditions align**:

- ✓ Price is at a **strong level**
- ✓ There is **clear rejection or confirmation**
- ✓ Candle close supports direction
- ✓ Market structure makes sense

You NEVER enter:

- ✗ In the middle of range
- ✗ During emotional impulse
- ✗ Without confirmation

Trade reaction, not imagination

4 Stop Loss Rules (Capital Protection First)

Golden Rule:

If level fails, **your trade is wrong**

Placement:

- Long trade → Stop below **support zone**
- Short trade → Stop above **resistance zone**

Never:

- ✗ Remove stop loss
- ✗ Increase stop loss
- ✗ Hope

Stop loss = Business expense

No stop loss = Account destruction

5 Target Rules (Trade Like a Business)

Primary Target:

- Next **opposite level**

Risk–Reward Minimum:

1 : 1.5 or higher

Partial Booking:

- Book some profit
- Trail rest logically

Small consistent profits beat emotional jackpots

6 Position Sizing Rule (Survival Formula)

Risk per trade:

Maximum 1%–2% of account

If Account = ₹1,00,000

Max loss per trade = ₹1,000–₹2,000

Big position = Emotional trading

Small position = Professional mindset

7 The Trader Discipline Code (Non-Negotiable)

You promise to:

- Trade **only at levels**
- Avoid **revenge trading**
- Stop after **2 losses per day**
- Journal every trade
- Respect process over profit

Discipline creates profits

Ego destroys accounts

8 Emotional Control System (Trader Psychology)

If you feel:

- Excited → STOP
- Angry → STOP
- Desperate → STOP
- Revenge mindset → STOP

Trade only when:

- Calm
- Neutral
- Focused
- Rule-based

Best traders feel **boring**, not excited

9 Daily Trader Routine (Professional Workflow)

Before Market:

- Mark levels
- Define bias
- Plan scenarios

During Market:

- Trade only if price reaches level
- Follow plan
- No overtrading

After Market:

- Journal trades
- Review mistakes
- Improve execution

Winners review.

Losers repeat mistakes.

The Springboard Trader's Oath

I will not chase trades

I will not trade emotions

I will respect levels

I will respect risk

I will trust discipline over impulse

I will become consistent, not lucky